6. Leadership is exercised in a particular situation. The situation variables also affect the effectiveness of leadership.
7. Along with situation leadership is affected by a given point of time under a specific set of circumstances. Thus leadership style will be different under different circumstances.

7.5 Leader Vs Manager

A Manager and Leader sometimes are treated equally. But distinction can be made between these two terms. Leadership is a skill and the person who possesses leadership ability is known as a Leader. On the other hand Management is a discipline and the practitioner of this discipline is known as the manager.

7.6 Importance of Leadership

Without a good leader organisation cannot function efficiently and effectively. Leadership is an important factor for making organisation successful. The importance of good leadership is:

1. **Motivating Employees:** Motivation is necessary for work performance. Higher the motivation better would be the performance. A good leader by exercising his leadership motivates the employees for high performance. Good leadership in the organisation itself is a motivating factor for the individuals.
2. **Creating Confidence:** A good leader may create confidence in



Figure 7.2 Difference between Leader and Boss

LEADER	MANAGER
A leader looks towards the future and future goals of the organisation.	Manager Focuses on the present duty, roles and responsibility.
A leader Appreciates Change.	Manager prefers Stability.
Leader orients himself towards Long term.	Manager Orients towards Short term.
Leader Engages in a Vision.	Manager Focuses on Procedure.
Leader Knows how to delegate.	Manager Prefers to control.
Leader trusts intuition.	Manager uses Rational mind.
Takes social and environmental contexts into consideration.	Manager works within the context of the organisation and business.
Leader investigates reality.	Manager accepts reality and do it.
Leader Focuses on People.	Manager Focuses on systems and Structures.

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